

FAR PART 19 — SMALL BUSINESS PROGRAMS

Study Notes: §19.000–19.100 (Scope, Definitions, Size Standards) & §19.200–19.203 (Policies, Program Relationships)

Source: [acquisition.gov/far/part-19](https://www.acquisition.gov/far/part-19) | FAC 2026-01 (Effective 03/13/2026)

1. SCOPE OF PART — §19.000

Implements the **Small Business Act (15 U.S.C. 631)**, Armed Services Procurement Act, 41 U.S.C. 3104, and E.O. 12138. Covers:

- Eligibility determination for small business programs
- Roles of executive agencies and SBA in program implementation
- Set-asides (total/partial) for: Small Business, 8(a), HUBZone, SDVOSB, EDWOSB/WOSB
- Certificate of Competency (COC) program
- Subcontracting assistance program
- 8(a) Business Development Program
- HUBZone price evaluation preference (10%)
- Veteran-owned small business use; sole-source awards; reserves

Geographic Applicability: Mandatory in U.S. and outlying areas; discretionary outside U.S. Offerors must meet definition of 'small business concern' (FAR 2.101) and 'concern' (19.001).

2. KEY DEFINITIONS — §19.001

Concern: Any for-profit business entity with a U.S. place of business making a significant contribution to the U.S. economy (taxes, products, labor). Includes individuals, partnerships, corporations, JVs, associations, cooperatives.

Fair Market Price: Price based on reasonable costs under normal competitive conditions — NOT the lowest possible cost (see 19.202-6).

Industry: All concerns primarily engaged in similar lines of activity as listed in the NAICS manual.

Similarly Situated Entity: A first-tier subcontractor with the same small business program status as the prime contractor AND is small under the NAICS code assigned to the subcontract.

3. SIZE STANDARDS — Subpart 19.1 (§19.102–19.103)

§19.102 — Size Standards & NAICS Codes

- SBA sets size standards industry-by-industry per **13 CFR 121.201** (also at [sba.gov](https://www.sba.gov)).
- NAICS codes updated by OMB every 5 years; new codes not usable until SBA publishes corresponding standards.
- Size determined as of date concern represents itself as small in its **initial offer (including price)**.
- CO assigns **one NAICS code** per solicitation based on principal purpose of acquisition.
- For multiple-award contracts issued **after Oct 1, 2028**: CO may assign separate NAICS codes per distinct category.
- CO applies size standard in effect on **solicitation issuance date**; may amend if SBA updates standard before offers due.

§19.103 — Appealing NAICS/Size Standard Determination

- CO's designation is final unless appealed to **SBA's Office of Hearings and Appeals (OHA)**.
- Appeal must be filed within **10 calendar days** of solicitation issuance (SBA may appeal any time before offers due).
- CO must notify public of appeal via solicitation amendment; OHA dismisses untimely appeals.
- CO response to OHA due within **15 calendar days** of docketing notice; CO shall withhold award pending decision (unless not in Government's interest).
- OHA decision received **before** offers due = final, solicitation amended. Received **after** offers due = applies to future solicitations only.

4. GENERAL POLICY — §19.201

Government policy: provide **maximum practicable opportunities** to small, veteran-owned, SDVOSB, HUBZone, small disadvantaged, and women-owned small businesses — both as prime contractors and subcontractors.

Agency Responsibilities: Heads of contracting activities implement programs and achieve goals. Each agency with contracting authority must establish an **Office of Small and Disadvantaged Business Utilization (OSDBU)** (DoD: Office of Small Business Programs). The Director is appointed by agency head, reports directly to agency head, and oversees functions under Small Business Act §§8, 15, 31, 36, 44.

Small Business Specialists must be coordinated with no later than **30 days before solicitation issuance**. They notify OSDBU Director when substantial bundling thresholds (7.107-4) are met.

5. SPECIFIC POLICIES — §19.202

§19.202-1 Encouraging SB Participation: Divide acquisitions into small lots; set realistic delivery schedules; encourage prime-to-SB subcontracting. Provide acquisition package to SBA PCR ≥30 days before solicitation if: (i) SB currently performs and magnitude makes SB prime unlikely; (ii) construction consolidation makes SB prime unlikely; (iii) consolidated/bundled requirement.

§19.202-2 Locating SB Sources: Make every reasonable effort to find additional SB sources before issuing solicitations (contact agency SB specialist and SBA PCR). Publicize solicitations and awards through Governmentwide Point of Entry (GPE).

§19.202-3 Equal Low Bids: Award first to SB concerns that are also labor surplus area concerns; second to other SB concerns.

§19.202-4 Solicitation: Allow maximum time for offer submission; furnish specs/drawings; provide copy of solicitation and regulatory citations to any requesting SB concern.

§19.202-5 Data Collection & Reporting: Require offerors to represent SB status (52.219-1). Measure and report SB participation to SBA at fiscal year end. Require rerepresentation when clause 52.219-28 conditions are met.

§19.202-6 Fair Market Price: Fair market price = price per reasonable price guidelines (15.404-1(b)) for set-asides, HUBZone, SDVOSB, EDWOSB/WOSB programs. For 8(a) contracts, follow procedures at 19.807.

6. RELATIONSHIP AMONG SMALL BUSINESS PROGRAMS — §19.203

No order of precedence among: 8(a) Program, HUBZone Program, SDVOSB Program, WOSB Program.

Dollar Threshold	Rule
Above micro-purchase, at or below SAT	Mandatory SB set-aside (19.502-2(a)) does NOT preclude award under 8(a), HUBZone, SDVOSB, or WOSB.
Above SAT	CO shall FIRST consider socioeconomic programs (8(a), HUBZone, SDVOSB, WOSB) BEFORE small business set-aside. Exception: if SBA accepted requirement into 8(a), it stays in 8(a) unless SBA agrees to release.

Choosing among socioeconomic programs: Consider (1) market research results showing capable socioeconomic firms, and (2) agency progress toward small business goals. **Small business set-asides have priority over full and open competition** (see Subpart 19.5).

QUICK REFERENCE — Key Numbers

NAICS appeal window: **10 days** | CO OHA response: **15 days** | SB specialist coordination: **≥30 days** before solicitation | PCR package notice: **30 days** before solicitation | 8(a) competitive threshold: **\$5.5M** (other) / **\$8.5M** (mfg) | Sole-source SDVOSB/HUBZone/WOSB cap: **\$5.5M** (other) / **\$8.5M** (mfg)